Are Incentives Enough?

Intrinsic & Extrinsic Motivation

EAS5450 Class #25

Penn Engineering

1

2

Employees Really Want …

3 Buckets of Motivators

- **Career**
  - Autonomy
  - Use of core competencies
  - Learning & developing
- **Community**
  - Respected
  - Cared about
  - Recognized
- **Cause**
  - Purpose
  - Meaningful impact
  - Identify with firm's mission

"The 3 Things Employees Really Want: Career, Community, Cause;" Goler, Gale, Harrington & Grant, Harvard Business Review, Jan 20, 2018

3

Mission Statement…

Reading Energy is . . .

People . . .

- Guided by uncompromising principles of competency, integrity, and hard work.

Working as a team of responsible professionals . . .

- To meet the balanced needs for electric power, a clean and healthy environment, and a strong economy.
- To continually seek the most environmentally-sound and effective technologies for managing waste as an energy resource.
- To achieve maximum economic production from our facilities, keeping safety as our top
- To acti understt
- To pro treating environ

While growing as individuals and as a company . . .

- Committed to program for personal well-being and development, and a corporate philosophy of managed, long-term growth.

- **Career: development**
- **Community: respected**
- **Cause: pride in the mission**

4

It's not pay, perks or benefits…

- **Quality Supervisor Relationship**
  - The greatest driver of productivity & loyalty
  - Clear consistent expectations
  - Care, empathy
  - Respect, trust
  - Encouragement, support (personal growth)
  - Thanks, appreciation
- **Know Your Employees**
  - Some desire explicit rules, procedures
  - Some less effective under rigidity

    … but still need discipline, rewards, thanks.
- **Keep Off Pedestal**
  - Humility, no grandiosity

5

"Let's stop putting leaders on a pedestal. CEOs often get caught up in grandiose images of themselves as culture builders and visionaries. They need to wake up and look at themselves as managers too. If they are not managing their own people well by getting the most out of their talents, they are sending a bad message down through the company. Ultimately, that will cost them."

M. Buckingham quote in "Life/Work" by T. Schwartz, Fast Company, Issue 40, Nov 2000.

- Ask for help … and remember thanks!

6

THE WALL STREET JOURNAL.

DOWJONES

THURSDAY, FEBRUARY 1, 2007 - VOL. CCXLIX NO. 26

★★★ $1.00

DJIA 12621.69 ▲98.38 0.8% NASDAQ 2463.93 ▲0.6% NIKKEI 17383.42 ▼0.6% DJ STOXX 50 3760.90 ▼0.6% 10-YR TREAS ▲13/32, yield 4.824% OIL $58.14 ▲$1.17 GOLD $652.00 ▲$7.80 EURO $1.3034 YEN 120.67

Dell's Founder Returns as CEO As Rollins Quits

Computer Firm Expects To Miss Earnings Mark; Stock Rises After Hours

By Christopher Lawton And Joann S. Lublin

Facing a deepening strategic quandary at the personal-computer giant he founded more than two decades ago, Michael Dell replaced his former protégé, Kevin Rollins, as chief executive of Dell Inc.

Mr. Dell's move to resume control of the company he transformed from a start-up in his college dormitory into one of the world's largest PC makers, is a sign of the crisis facing Dell. The Round Rock, Texas, company—known for its business model of selling PCs directly to consumers and business clients over the phone and Internet—has stalled in the past few years as buying behavior in the PC world has changed drastically.

Mr. Dell's renewed day-to-day involvement may do little to solve the company's problems, at least in the short term. In announcing the shake-up, the company also disclosed it expects its earnings and revenue for the fiscal fourth quarter ending this week to fall short of analysts' estimates.

Michael Dell

Dell's reversal has taken place largely since Mr. Dell handed the CEO reins over to Mr. Rollins in 2004. Mr. Dell remained chairman of the board, a position he will continue to hold. In an interview, Mr. Dell largely declined to comment on Mr. Rollins's departure, and Mr. Rollins couldn't be reached for comment.

"Kevin has been a great friend and colleague for many years and made huge contributions for the company during a critical period, [but] I felt that it was a critical time for the company and having unified leadership

Please turn to page A15

- **Dell known for its business model:**
  - Supply chain strength
  - Direct sales
- **Stalled as PC buying behavior changed.**
- **Missed sales and earnings projections.**
- **Rollins: stern, aloof, single-minded.**
- **Dell: hands-on, MBWA, empowers team, motivational leader, sense of urgency.**
- **Dell stock up $1/share (4.1%) on announcement.**

7

The "Q12"

- Do I know what is expected of me at work?
- Do I have the materials and equipment I need to do my work right?
- At work, do I have the opportunity to do what I do best every day?
- In the last 7 days, have I received recognition or praise for doing good work?
- Does my supervisor, or someone at work, seem to care about me as a person?
- Is there someone at work wh
- At work, do my opinions see
- Does the mission/purpose of
  important?
- Are my co-workers committe
- Do I have a best friend at wo
- In the last 6 months, has someone at work talked to me about my progress?
- This last year, have I had opportunities at work to learn and grow?

- **Career: development**
- **Community: respected**
- **Cause: pride in the mission**

8

Why Rewards Fail…

- **Pay Doesn't Motivate**
  - Too little demotivates
  - Converse not true
    … does not lead to increased satisfaction
- **Rewards Punish** e.g., year-end bonuses
  - Manipulative, coercive
  - The more desirable, the more de-moralizing to lose
- **Rupture Relationships**
  - Introduces damaging, competitive culture
  - Destroys cooperation
- **Ignore Reasons**
  - Supervisors lead less
  - Employees don't get what is really needed to do their job

9

- **Discourage Risk-Taking**
  - Do only what is asked
  - Creativity = #1 casualty
- **Undermine Interest**
  - Extrinsic incentive doesn't replace genuine interest
  - Feel manipulated
  - Especially damaging for complicated tasks requiring interest

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But, Stock Options & Directed Incentive Commissions/Bonuses…

- **Align Employee/Company Interests**
- **Attract Confident Sales People, <u>but</u>…**
  - Chase away good, but less confident/egotistical performers
  - Chase away good performers with low risk tolerance
    … e.g., family obligations
- **Reward Empowered Decisions**

11

Empowerment

- **Decisions By Those Closest To Problem**
- **Avoids Decision Heirarchies**
  … Especially uninformed or mis-informed decision-makers
- **Intrinsic Motivator**
  - Self-worth
  - Autonomy
  - Contributing team member
  - Trust
- **REQUIRES:**
  1. Authority to make decisions
  2. Resources
  3. Knowledge
  4. Trust
  5. Knowing, staying within limits
  6. Seeking advice

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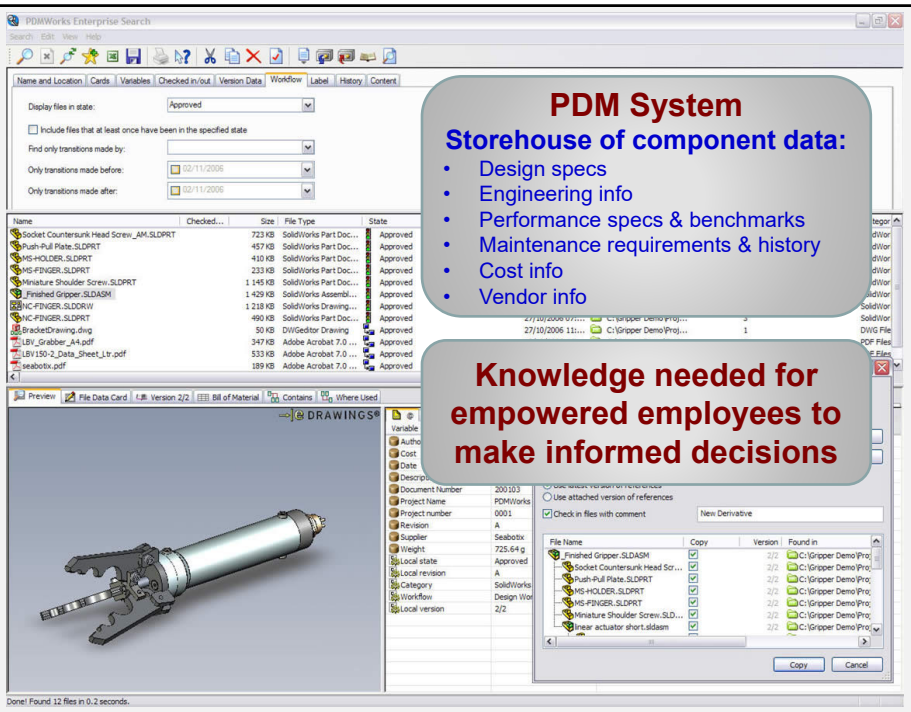
Northeastern Power Company

Adopting PDM…

13



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Northeastern Power Company

Intrinsic & Extrinsic Motivators…

15

Intrinsic and extrinsic motivation…

16

Northeastern Power Company

Sick Day Policy…

Reading Energy

17

Intrinsic and extrinsic motivation…

Want people interested in more than just a job!

"Hiring smart people has been the single most important thing we've done as a company from the very beginning.

Paul Allen and I started out hiring our friends, but always with an eye on people who had a lot of passion for what they were doing and who were very, very bright.

Our recruiting department works very hard to find the right people for our culture here.

We also offer our employees a way to share in the company's long-term success and we encourage people to look around the company for new challenges.

When you have smart people working for you, you want to keep them stimulated and engaged.

We've worked hard to make that possible at Microsoft."

Bill Gates
Entrepreneur Magazine
December 1999

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First Who… Then What

"Good to Great"

Jim Collins

Penn Engineering

EAS 5450

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Start With the Right People

- Intrinsically motivated, inspirational leaders.
- A's attract A's. B's attract C's.
- Mutual trust and respect
  - Willing to question and debate
  - Willing to be flexible
  - Guided, not tightly managed
- Will help steer the bus

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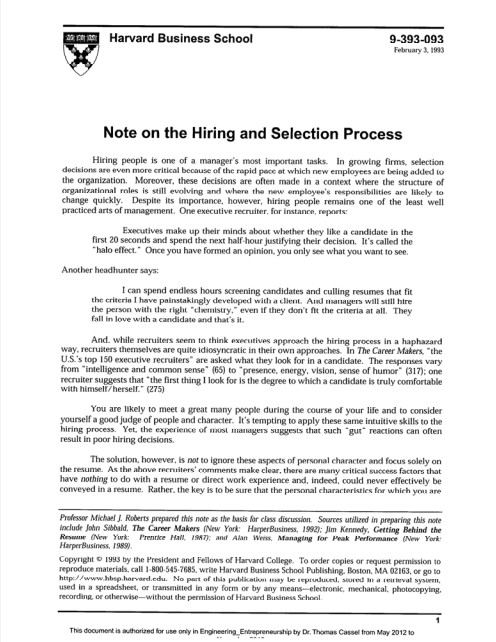
The Right People

- More than education, experience and skills
- Basic intelligence … beyond GPA
- Core values and character attributes
  - Foundations of trust
- Drive to make company succeed
  - Work ethic
  - Dedication

21



Harvard Business School 9-393-093
February 3, 1993

Note on the Hiring and Selection Process

Hiring people is one of a manager's most important tasks. In growing firms, selection decisions are even more critical because of the rapid pace at which new employees are being added to the organization. Moreover, these decisions are often made in a context where the structure of organizational roles is still evolving and where the new employee's responsibilities are likely to change quickly. Despite its importance, however, hiring people remains one of the least well practiced arts of management. One executive recruiter, for instance, reports:

> Executives make up their minds about whether they like a candidate in the first 20 seconds and spend the next half-hour justifying their decision. It's called the "halo effect." Once you have formed an opinion, you only see what you want to see.

Another headhunter says:

> I can spend endless hours screening candidates and culling resumes that fit the criteria I have painstakingly developed with a client. And managers will still hire the person with the right "chemistry," even if they don't fit the criteria at all. They fall in love with a candidate and that's it.

And, while recruiters seem to think executives approach the hiring process in a haphazard way, recruiters themselves are quite idiosyncratic in their own approaches. In *The Career Makers*, "the U.S.'s top 150 executive recruiters" are asked what they look for in a candidate. The responses vary from "intelligence and common sense" (65) to "presence, energy, vision, sense of humor" (317); one recruiter suggests that "the first thing I look for is the degree to which a candidate is truly comfortable with himself/herself." (275)

You are likely to meet a great many people during the course of your life and to consider yourself a good judge of people and character. It's tempting to apply these same intuitive skills to the hiring process. Yet, the experience of most managers suggests that such "gut" reactions can often result in poor hiring decisions.

The solution, however, is *not* to ignore these aspects of personal character and focus solely on the resume. As the above recruiters' comments make clear, there are many critical success factors that have *nothing* to do with a resume or direct work experience and, indeed, could never effectively be conveyed in a resume. Rather, the key is to be sure that the personal characteristics for which you are

*Professor Michael J. Roberts prepared this note as the basis for class discussion. Sources utilized in preparing this note include John Sibbald, **The Career Makers** (New York: HarperBusiness, 1992); Jim Kennedy, **Getting Behind the Resume** (New York: Prentice Hall, 1987); and Alan Weiss, **Managing for Peak Performance** (New York: HarperBusiness, 1989).*

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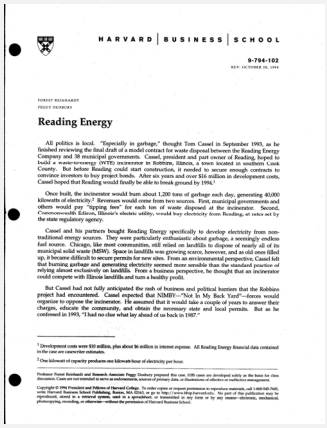
- **INTERVIEW**
  - **Background Factors**
    - Experience
    - Education
    - Detail behind the resume
  - **Personal Factors**
    - Topic Opener: "Tell me about…"
    - Self-Appraisal Question: "What about you led to…"
    - Situation-Based Question: "Put yourself in…"
- **REFERENCE CHECKS**

22

It's Who You Pay, Not What You Pay Them

- No relationship of compensation to greatness.
- The right people do the right things regardless of what you pay them.

23



HARVARD | BUSINESS | SCHOOL

9-794-102

REV: OCTOBER 20, 1994

FORREST REINHARDT
PEGGY DUNBAR

Reading Energy

All politics is local. "Especially in garbage," thought Tom Cassel in September 1993, as he finished reviewing the final draft of a model contract for waste disposal between the Reading Energy Company and 38 municipal governments. Cassel, president and part owner of Reading, hoped to build a waste-to-energy (WTE) incinerator in Robbins, Illinois, a town located in southern Cook County. But before Reading could start construction, it needed to secure enough contracts to convince investors to buy project bonds. After six years and over $14 million in development costs, Cassel hoped that Reading would finally be able to break ground by 1994.[1]

Once built, the incinerator would burn about 1,200 tons of garbage each day, generating 40,000 kilowatts of electricity.[2] Revenues would come from two sources. First, municipal governments and others would pay "tipping fees" for each ton of waste disposed at the incinerator. Second, Commonwealth Edison, Illinois's electric utility, would buy electricity from Reading, at rates set by the state regulatory agency.

Cassel and his partners bought Reading Energy specifically to develop electricity from non-traditional energy sources. They were particularly enthusiastic about garbage, a seemingly endless fuel source. Chicago, like most communities, still relied on landfills to dispose of nearly all of its municipal solid waste (MSW). Space in landfills was growing scarce, however, and as old ones filled up, it was increasingly difficult to find sites for new sites. From an environmental perspective, Cassel felt that burning garbage and generating electricity seemed more sensible than the standard practice of relying almost exclusively on landfill. From a financial perspective, he thought that an incinerator could compete with Illinois landfills and turn a healthy profit.

But Cassel had not fully anticipated the rash of business and political barriers that the Robbins project had encountered. Cassel expected that NIMBY—"Not In My Back Yard"—forces would organize to oppose the incinerator. He assumed that it would take a couple of years to answer their charges, educate the community, and obtain the necessary state and local permits. But as he confessed in 1993, "I had no clue what lay ahead of us back in 1987."

[1] Development costs were $10 million, plus about $6 million in interest expense. All Reading Energy financial data contained in the case are case-writer estimates.

[2] One kilowatt of capacity produces one kilowatt-hour of electricity per hour.

Professor Forest Reinhardt and Research Associate Peggy Dunbar prepared this case. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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Enthused and confident in Reading's mission, Cassel's team enjoyed high morale. "Most of us could leave tomorrow and make more money and work fewer hours at a big corporation," explained DiBiasi. "But it would not be nearly as exciting, challenging, or satisfying."

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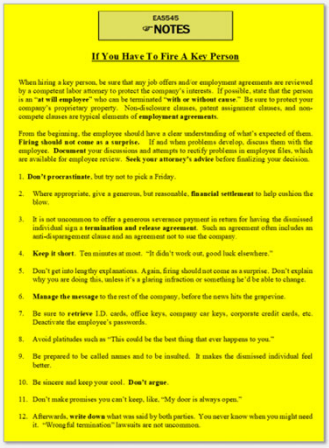
It's Who You Pay (Cont'd) …

- Use compensation to attract the right people...
- Not to get the right behavior from the wrong people.

25

Get Rid of the Wrong People Quickly

- When in doubt, don't hire.
- Great companies have fewer layoffs.



EA5545

☞NOTES

If You Have To Fire A Key Person

When hiring a key person, be sure that any job offers and/or employment agreements are reviewed by a competent labor attorney to protect the company's interests. If possible, state that the person is an "**at will employee**" who can be terminated "**with or without cause**." Be sure to protect your company's proprietary property. Non-disclosure clauses, patent assignment clauses, and non-compete clauses are typical elements of **employment agreements**.

From the beginning, the employee should have a clear understanding of what's expected of them. **Firing should not come as a surprise.** If and when problems develop, discuss them with the employee. **Document** your discussions and attempts to rectify problems in employee files, which are available for employee review. **Seek your attorney's advice** before finalizing your decision.

1. **Don't procrastinate**, but try not to pick a Friday.
2. Where appropriate, give a generous, but reasonable, **financial settlement** to help cushion the blow.
3. It is not uncommon to offer a generous severance payment in return for having the dismissed individual sign a **termination and release agreement**. Such an agreement often includes an anti-disparagement clause and an agreement not to sue the company.
4. **Keep it short**. Ten minutes at most. "It didn't work out, good luck elsewhere."
5. Don't get into lengthy explanations. Again, firing should not come as a surprise. Don't explain why you are doing this, unless it's a glaring infraction or something he'd be able to change.
6. **Manage the message** to the rest of the company, before the news hits the grapevine.
7. Be sure to **retrieve** I.D. cards, office keys, company car keys, corporate credit cards, etc. Deactivate the employee's passwords.
8. Avoid platitudes such as "This could be the best thing that ever happens to you."
9. Be prepared to be called names and to be insulted. It makes the dismissed individual feel better.
10. Be sincere and keep your cool. **Don't argue**.
11. Don't make promises you can't keep, like, "My door is always open."
12. Afterwards, **write down** what was said by both parties. You never know when you might need it. "Wrongful termination" lawsuits are not uncommon.

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EAS545

NOTES

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27

Sun Microsystems

28

A's attract A's …

The participation of Bechtolsheim and Joy enabled Sun in the months ahead to build top-notch engineering and software teams.

Most of the engineers came because they wanted to work with Bill Joy and Andy, who were leaders in the field.

Excerpt from Bhide, A., "Vinod Khosla and Sun Microsystems (A)." Harvard Business School Publishing, Boston, 1989, Page 7.

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It's all based on trust …

Within three or four days, they agreed to give us $300,000 in equity. They gave us a $100,000 check right away and said, "You can get going..."

Bob Sackman led the thing, and he trusted me, It was really on trust. There was very little due diligence on their part – they just believed in the concept and said, "Yes, we think you can do it."

Excerpt from Bhide, A., "Vinod Khosla and Sun Microsystems (A)." Harvard Business School Publishing, Boston, 1989, Page 5.

30

Early Capitalization

Feb '82	$300,000	"… based on trust"
Sept '82	$2,300,000	Seed Investors
	$2,200,000	VCs: Kleiner Perkins, et al.

31

Not a *Spoiled Start-Up* …

Sun turned profitable in the first quarter… Khosla ran a tight ship.

We didn't have a big overhead structure, because we didn't have any money to spend… I insisted on daily cash flow reports… We really have tight controls.

We were unlike most start-ups.

Excerpt from Bhide, A., "Vinod Khosla and Sun Microsystems (A)." Harvard Business School Publishing, Boston, 1989, Page 12.

32

Strategic revenue …

One fundamental part of our strategy was to get as many CPUs out there as possible, and get them popularized. Market share is very important to us and revenue is not. Even though we did really good in revenue last year, our goal was not revenue.

Excerpt from Bhide, A., "Vinod Khosla and Sun Microsystems (A)." Harvard Business School Publishing, Boston, 1989, Page 13.

33

Don't make anything …

Sun would depend on outside resources for manufacturing.

We would do as little as possible because of resource constraints. And our costs would be lower because whoever was doing our board manufacturing would amortize 2% or 3% of the overhead of managing such a facility to us, while if you were doing it yourself you amortized 100%. Even after you added in a 10% or 15% profit margin we were still better off than doing it on our own.

The company would rely on the network of suppliers in Silicon Valley.

Excerpt from Bhide, A., "Vinod Khosla and Sun Microsystems (A)." Harvard Business School Publishing, Boston, 1989, Page 9.

34

If you're James Berret, Computervision's CEO, what are the tradeoffs between Sun and Apollo?

35

How important is the Computervision deal to Sun?

If you're Vinod, what do you do?

36

HARVARD | BUSINESS | SCHOOL

9-390-050
SEPTEMBER 28, 1989

AMAR BHIDE

Vinod Khosla and Sun Microsystems (B)

I said, godfather style, I will make you an offer you can't refuse. You love our technology, you can have it. You will have no royalties due, no fees due. We'll send half our company over to help you learn it, put it into production and go with it.

There is a powerful camp at Computervision who don't want to go outside at all, but keep building inside. You'll make all those guys really happy. Suddenly you'll save yourself millions and millions of dollars in gross margin, because you are producing this. You don't have to develop your own technology, you get the latest technology, which you like more than Apollo's.

"In return for what?"

In return for nothing.

37

HARVARD | BUSINESS | SCHOOL

9-390-051
REV: DECEMBER 31, 1989

AMAR BHIDE

Vinod Khosla and Sun Microsystems (C)

That is exactly how it turned out. They kept modifying the machine and never produced it. They kept buying from Sun. They did not buy a whole lot for quite some time, because they were trying to do their own. But a lot of other vendors in the industry started buying Sun, because it was now a credible standard.

And of course, there is no contract without consideration. They would end up paying something.

At first, Computervision's president didn't believe the offer I'd made. He said, "Let me think about this and call you back." A week later, he called me back and asked me if I was serious. I said, "I'm serious." Then he said, "We have to negotiate this immediately, but we can't do it in Boston, because I don't want anyone to see us talking. Chicago is a nice place, let's meet there today." We flew to Chicago, got there in the afternoon the following day. We negotiated until about 5:00 in the morning and signed a handwritten letter of intent. I hadn't eaten for three days. As soon as we signed, I said, "I am hungry now," and we went out and had cold pizza at Chicago's O'Hare. I had a board meeting that day in California, but I knew they would wait.

We negotiated a pretty fair deal. They wanted to be fair with us, and they wanted to help us get off the ground, but they wanted their access to technology. They wanted to produce all the machines they wanted to use. They agreed to pay us declining royalties, which was very generous. But they would do much better than they would do with Apollo.

They would have complete control over production. Their guys could hand-tweak the thing, modify the designs, which was exactly what I wanted. As soon as they started playing around with it, they would not get it done.

Professor Amar Bhide prepared this case as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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390-051 Vinod Khosla and Sun Microsystems (C)

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Sun microsystems

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Recommendations For You

Home > About Sun >

Company Info

Innovative products and services that power the network economy.

Company Profile | Awards | Customers

Print-friendly Page

At a Glance | History

Innovation is at Our Core

1982 | 1983 | 1984 | 1985 | 1986 | 1987 | 1988 | 1989
1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998 | 1999
2000 | 2001 | 2002 | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 | 2009

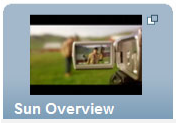
1983: First Big Break

- Sun and Computervision sign a $40 million OEM agreement.
- Operations begin in Europe.

Back to topBack to top

1982: Getting Started

- Incorporated in February 1982, with four employees.
- First workstation introduced. It includes TCP/IP, now known as the Internet protocol suite.



Sun Overview

39

Epilog: Sun vs Apollo

There's no question, however, that over the past few decades Silicon Valley's open systems have proved more resilient than the old proprietary boxes. Venture capitalist Paul Koontz of Foundation Capital in Menlo Park points to Sun as the model: It started with off-the-shelf components and a public domain operating system, and it developed networking standards that allowed computers from many different manufacturers to swap files. "What a wild concept in the computer business back in the early days," says Koontz. But, he notes, "it was very comfortable for companies out here to think that way."

The contrast between Sun and Apollo Computer, its onetime rival in the workstation market, comes up again and again in these discussions. Apollo, which was based in Chelmsford, Massachusetts, built a traditional proprietary system and an equally traditional corporate culture. In a 1987 *Wall Street Journal* feature, Apollo chairman Thomas Vanderslice dismissed Sun's playful atmosphere with a contemptuous cliche: "In this country, everything loose rolls to the West Coast."

While Sun was slashing prices and going after every market that would have it, Apollo took a more cautious approach. "I'd like to consider ourselves good businessmen," Apollo president Roland Pampel told *High Technology Business* in 1987. "If we're going to go into a market, I'd hope that we would know how we're going to support it." Such careful anticipation had already made Apollo vulnerable to shocks, however: A 1984 slowdown in the semiconductor business, its base market, sent it scrambling to develop new customers--at the very time Sun was making inroads with its cheaper, Unix-based machines. Eventually, Apollo, too, had to cut prices and adopt Unix. But it still wound up in a downward spiral and was eventually acquired by Hewlett-Packard. In a rapidly changing technology environment, Apollo was never able to turn its desired "image of solid, long-term reliability," as the *Journal* summarized its 1987 strategy, into something for which customers would pay a premium.

Sun's initial strategy of off-the-shelf components, by contrast, allowed it to quickly incorporate technical advances, rapidly improving its price/performance ratio in its early days.

From Forbes ASAP, August 25, 1997

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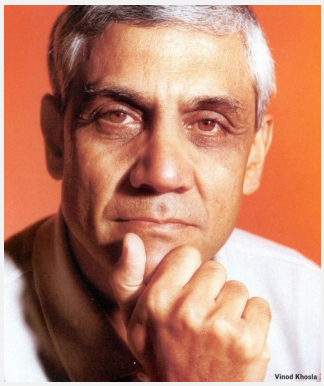

None is shrewder than Vinod Khosla… lower-profile and less loquacious than his headline-happy partner.

Forbes.com, 2/19/01

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Where are they now?

Vinod Khosla
Left Sun Microsystems in 1986 and joined Kleiner Perkins Caufield & Byers. Formed and funded Khosla Ventures in 2004.

Andy Bechtolsheim
Left Sun in 1995 to found Granite Systems, acquired by Cisco in 1996. Rejoined Sun Microsystems in 2004 as Sr VP and Chief Architect. Left Sun in October 2008 to start Arista Networks. First investor in Google ($100,000 now worth >$9 billion).

Bill Joy
Resigned as Sun's Chief Scientist in 2003. Joined KPCB as a partner in 2005. *John Doerr's advice for Barack Obama: Hire Bill Joy (NY Times, Nov 5, 2008).*

Scott McNealy
Succeeded Khosla as Sun CEO in 1984. After 22 years, replaced as Sun's Board Chairman, President & CEO by Jonathan Schwartz in April 2006.

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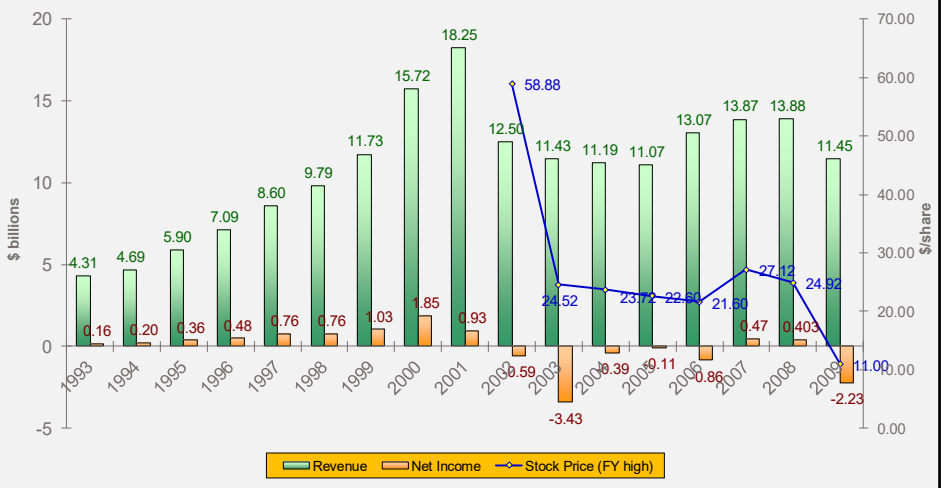
Sun's Annual Performance



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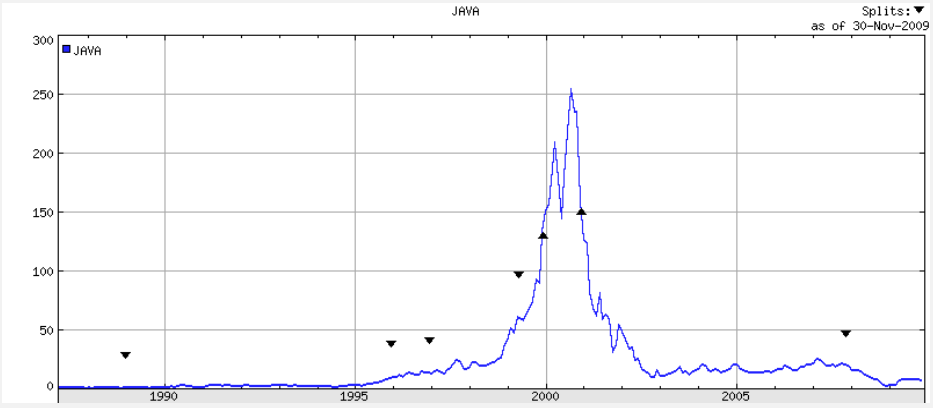

Splits:
21-Dec-88 [2:1], 12-Dec-95 [2:1], 11-Dec-96 [2:1], 09-Apr-99 [2:1], 08-Dec-99 [2:1], 06-Dec-00 [2:1], 12-Nov-07 [1:4]

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Sun 1:4 Reverse Stock Split

Nov 12, 2007

- Converts every 4 shares to 1 with a 4-fold increase in share price.
- Cosmetic move to improve perception of company's recent turnaround.
- Sun had just reported its first profitable fiscal year in 5 years.
- CEO Jonathan Schwartz, *"Having Sun's stock below $10 – where it has been mired for the last 5 years – created an inaccurate perception that the company was still struggling to overcome its post-dot-com era slump."*

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April 2009 was a busy month for Sun!

BOSTON, April 2 (Reuters) - International Business Machines Corp (IBM.N) is in talks to buy Sun Microsystems Inc (JAVA.O) for $9.55 per share, a person familiar with the situation said on Thursday.

NEW YORK, April 16 (Reuters) - IBM is no longer interested in buying smaller rival Sun Microsystems Inc at any price, CNBC reported on Thursday, although many investors appear to believe a deal was still possible.

REDWOOD SHORES, Calif., April 20 /PRNewswire-FirstCall/ -- Oracle Corporation (NASDAQ: ORCL) and Sun Microsystems (NASDAQ: JAVA) announced today they have entered into a definitive agreement under which Oracle will acquire Sun common stock for $9.50 per share in cash. The transaction is valued at approximately $7.4 billion, or $5.6 billion net of Sun's cash and debt.

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Oracle Completes Acquisition of Sun

Redwood Shores, CA – January 27, 2010
Oracle Corporation (NASDAQ: ORCL) announced today that it had completed its acquisition of Sun Microsystems, Inc.

SUN CUSTOMERS
Oracle Plans To:

1. Spend more money developing SPARC than Sun does now;
2. Spend more money developing Solaris than Sun does now;
3. Spend more money developing MySQL than Sun does now;
4. Dramatically improve Sun's system performance by tightly integrating Oracle software with Sun hardware;
5. Have more than twice as many hardware specialists selling and servicing SPARC/Solaris systems than Sun does now.

"We're in it to win it. IBM, we're looking forward to competing with you in the hardware business."
– Larry Ellison

Sun

ORACLE

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Oracle (NYSE)

4/16/2025: $128.10/Shr
Revenues: $55.8B TTM
P/E = 30.1 TTM
Market Cap = $359B
Beta = 1.22

Yahoo Finance: Apr 16, 2025

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